

Principles of Macroeconomics

Course Objectives

This course introduces the participants to the fundamental questions in macroeconomics: economic growth, unemployment and inflation. The course is divided into three parts: introductory macroeconomics and measurement of macroeconomic aggregates, growths and institutions, and macroeconomic policies.

Course Contents

1. Introduction to Macroeconomics

- What macroeconomics is about?
- Issues addressed by macroeconomists
- Positive vs. Normative analysis
- Classical vs. Keynesians

2. Measurement and the Structure of the National Economy

- National Income Accounting: The Measurement of Production, Income, and Expenditure
- Gross Domestic Product
- Saving and Wealth
- Real GDP, Price Indexes, and Inflation
- Interest Rates

Productivity, Output and Employment

- The Production Function
- The Demand for Labor
- The Supply of Labor
- Labor Market Equilibrium
- Unemployment
- Relating Output and Unemployment: Okun's Law

Consumption, Saving and Investment in Closed and Open Economy

- Consumption and Saving
- Investment
- Goods Market Equilibrium
- Goods Market Equilibrium in an Open Economy
- Saving and Investment in a Small Open Economy
- Saving and Investment in Large Open Economies
- Balance of Payment Account
- Fiscal & Monetary Policies

Recommended Books

1. Mankiw, G. (2018). Macroeconomics. 10th Edition, Worth Publishers.
2. Abel, B. A. Bernanke, B. S. & Croushore (2019). Macroeconomics, 10th Edition, Pearson.

3. Dornbusch, R., Fischer, S. and Startz, S. (2018). Macroeconomics. 13th Edition, McGrawHill.
4. Froyen R. T. (2013). Macroeconomics Theories and Policies. 10th Edition, Pearson

Note: 1. Duration of course will be 10 weeks.
2. Total 10 lectures of two hours duration will be delivered.
3. Class time will be from 7:00 pm to 9:00 pm, once a week.
4. Atleast 75% attendance is required to get a certificate.